

Dear Folks!

*This workbook will guide you through the next 4 hours in this program titled
“The Science of Sales Negotiations”*

*At the end of the program it is expected that you start looking at the program
as a structured scientific process rather than a willful game of lowering profits
by giving more discounts to win a sales order!*

*After the program is over, we expect that each one of you would have
prepared your negotiation sales kit. Any fine tuning of the same can be done
after the program with a one to one sitting. This will be your key takeaway
from this program.*

Welcome aboard!

Yours truly,

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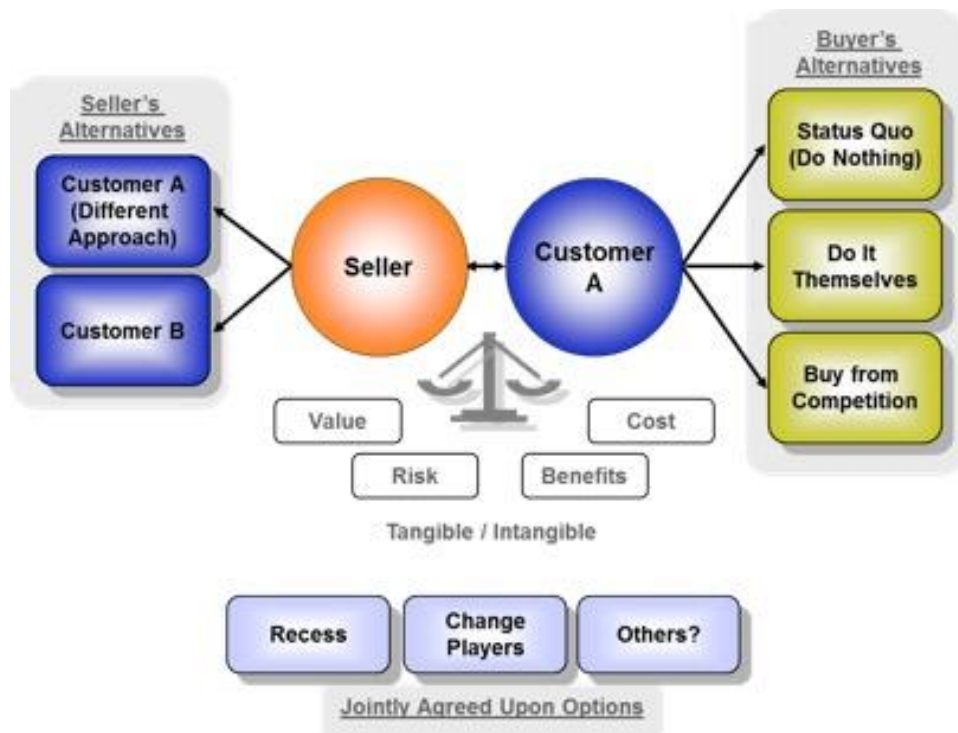
The Game Called
“Sales Negotiation”
Were you
“Lose to win!”



1. Which of the following question is true? Please tick marks your choice.

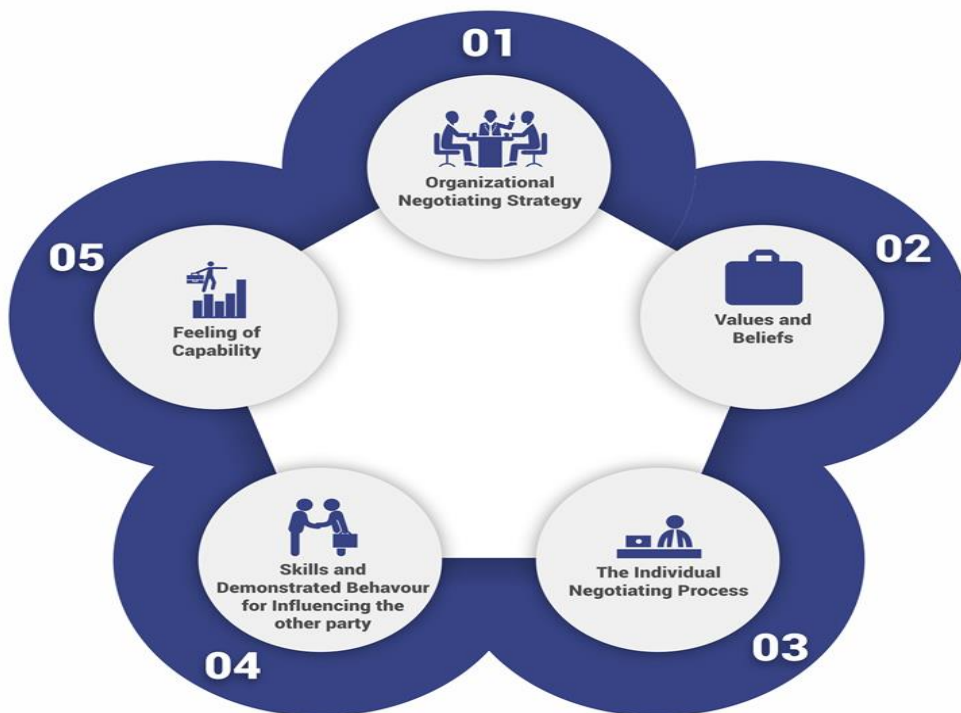
- The salesman is always at a disadvantage in a sales negotiation.
- The buyer is less interested in buying while the salesman is always more interested in selling.
- The buyer has a veto power to decide but the salesman has no such veto power.
- The buyer can demand anything from the salesman but the salesman has nothing to demand from the customer except requesting for the order.
- The role of the salesman in a sales negotiation is to answer questions posed to him by the buyer.
- The responsibility of salesman is to keep the buyer happy in all respects.
- Any planning made by the salesman before the sales negotiation is useless because the buyer's agenda is prime and the salesman cannot do anything to influence the buyers agenda.
- The salesman's pride is always at stake when sitting in a sales negotiation.
- If there are more than one people sitting on the negotiation table from the buyer's side, the salesman becomes a punching bag.
- Sales Negotiation is a competitive sport where either the customer or the seller must come out victorious.
- The salesman must over power the customer to win a sales negotiation.
- Salesman cannot become a good negotiator if his/her IQ (Intelligence Quotient) is not very high.
- The easiest way to win a Sales Negotiation is offer large discounts. Hence purchase price has to be very good to become a very good sales negotiator.
- Winning a Sales negotiation is always more important than earning profits from the sales deal.

2. The following figure represents a collaborative sales negotiation process. Please go through the same with finer details and answer the questions that follows:



- a) When Customer A proposes to buy from “competition”, what do you do as a Seller?
- Increase Discount
 - Highlight “Value” that your product or service has to offer
 - Highlight the “Risk” that Customer A will enter into by not buying your product or service
 - Do a Cost- Benefit analysis for the Customer A
 - Offer “Personal Favors” to the Customer A’s representative on negotiation table
 - All of the above
 - None of the above
- b) When Customer A proposes to “Do it Themselves” what do you do as a Seller?
- Increase Discount
 - Highlight “Value” that your product or service has to offer
 - Highlight the “Risk” that Customer A will enter into by not buying your product or service
 - Do a Cost- Benefit analysis for the Customer A
 - Offer “Personal Favors” to the Customer A’s representative on negotiation table
 - All of the above
 - None of the above
- c) When Customer A proposes to “Do nothing or Status quo” what do you do as a Seller?

- a. Increase Discount
 - b. Highlight “Value” that your product or service has to offer
 - c. Highlight the “Risk” that Customer A will enter into by not buying your product or service
 - d. Do a Cost- Benefit analysis for the Customer A
 - e. Offer “Personal Favors” to the Customer A’s representative on negotiation table
 - f. All of the above
 - g. None of the above
3. The picture below will give you a schematic idea of the strategic sales negotiation process.



- a) What, according to you, should be the key organizational negotiation strategy of your organisation?

❖ Tactical Strategy

❖ Planning Guideline

❖ _____

❖ Strategic Guideline

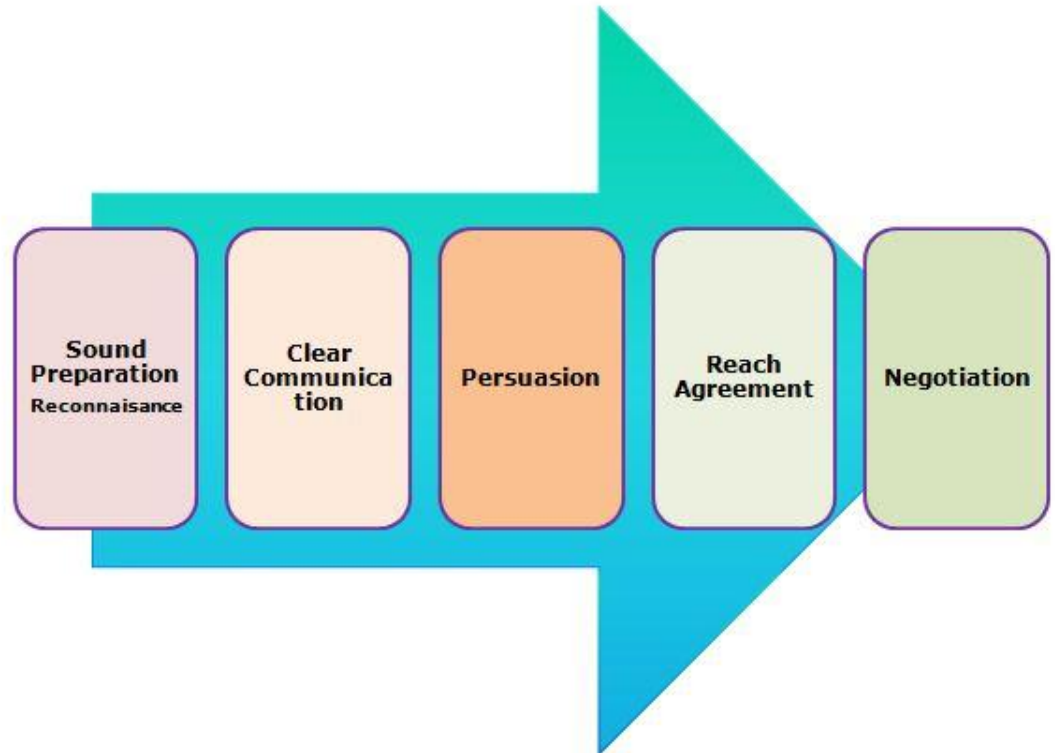
- b) What are the values and beliefs of your organisation, which will assist you in a Sales Negotiation?

Values and Beliefs of your organisation	How they assist you in Sales Negotiations?

- c) What is the process of negotiation that you follow as guiding line when you sit in for a Sales Negotiation on behalf of your company?

You can make use of the following picture to answer this question.

Figure 1: The Negotiation Process



- ✓ How do you ensure sound preparation for sales negotiation?



- ✓ Checklist for clear and effective communication during negotiation

A Checklist for Effective Communication during Negotiation

- ☐ Plan all communications.
- ☐ Make sure that you have your message clear in your own mind before you try to pass it on to others.
- ☐ Phrase it in language the receiver understands.
- ☐ Be yourself - be natural - be relaxed.
- ☐ Keep to the point - don't ramble.
- ☐ Be positive.
- ☐ Put yourself in the recipient's shoes - what are their needs, interests, motivations?

- ✓ Which of the following skill would you like to use during the “Persuasion” stage of negotiation?
 - Persuade
 - Negotiate
 - Influence
- ✓ Which of the following style suits you to reach an agreement with the client as part of negotiation process?
 - Compete
 - Compromise
 - Collaborate
 - Avoid
 - Accommodate
 - None of the above
 - All of the above



- d) What are the skillsets and demonstrated behaviour, which are useful to influence people? Rank the following skillsets according to your order of preference.

<u>S.No.</u>	<u>Skillset</u>	<u>Your ranking</u>	<u>Correct ranking</u>
1	Probing		
2	Listening		
3	Ideation		
4	Public Relations		
5	Knowledge on subject		
6	Elucidation		
7	Presentation		
8	Technology		
9	Time Management		
10	Managing Difference of Opinion		

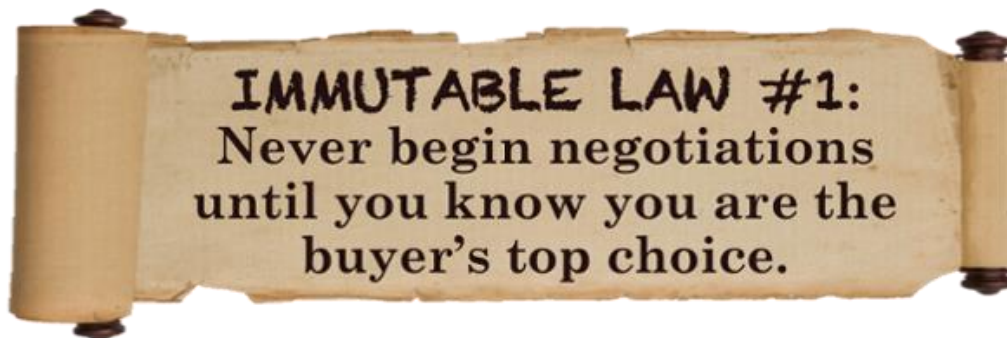
4. Negotiation is not a competitive sport.



- a) Which of the following will happen with you in a negotiation? Tick the correct option.
- Win the Negotiation
 - Lose the Negotiation
 - You lose some and win some part of the negotiation
 - Customer will lose the negotiation
 - Customer will win the negotiation
- b) When you go to the negotiation table, which of the following is true
- You know all the questions and answers that customer will ask
 - You know all the possible positions that the customer can take
 - You know all the features of your product
- c) Once the negotiation starts, which of the following applies to you
- You try to avoid giving the opening offer
 - You listen actively
 - You do not show any rush to close the order
 - You are able to translate every discussion into cost saving either for you or the customer

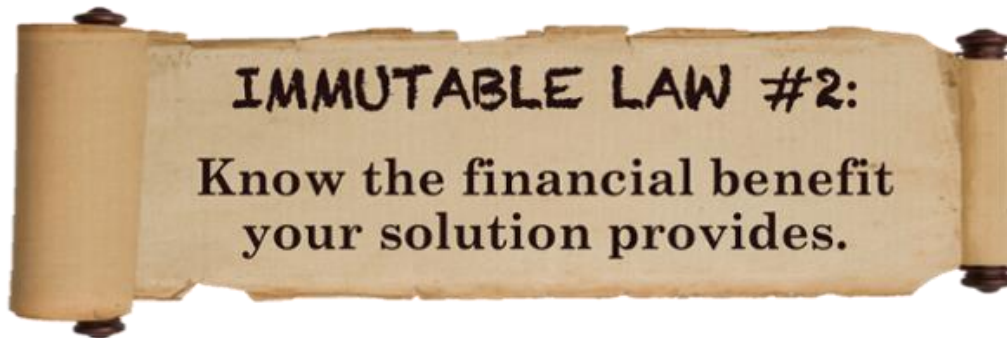


The process of Sales Negotiation is governed by 7 immutable laws. This section of the workbook elaborates these laws and raises questions related to each such law.



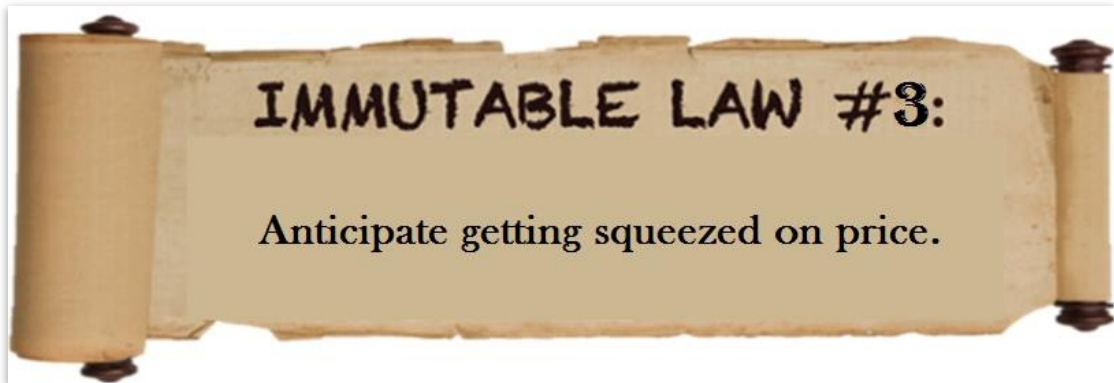
1. What is your approach when the customer wants to start negotiation even before they are convinced that your product is their top choice?
 - a. Go ahead and negotiate.
 - b. "Beat around the bush" till the customer reaches some conclusion.
 - c. Work towards becoming the "top choice" of the customer and give the customer a "range" of pricing offer
 - d. All of the above
 - e. None of the above

2. How do you know for sure that the customer has made your product or service their "top choice"?



Prepare a F.A.B. chart of your product or service below.

S.No.	Feature	Advantage	Assumptions	Financial Benefits
1				
2				
3				
4				
5				
6				

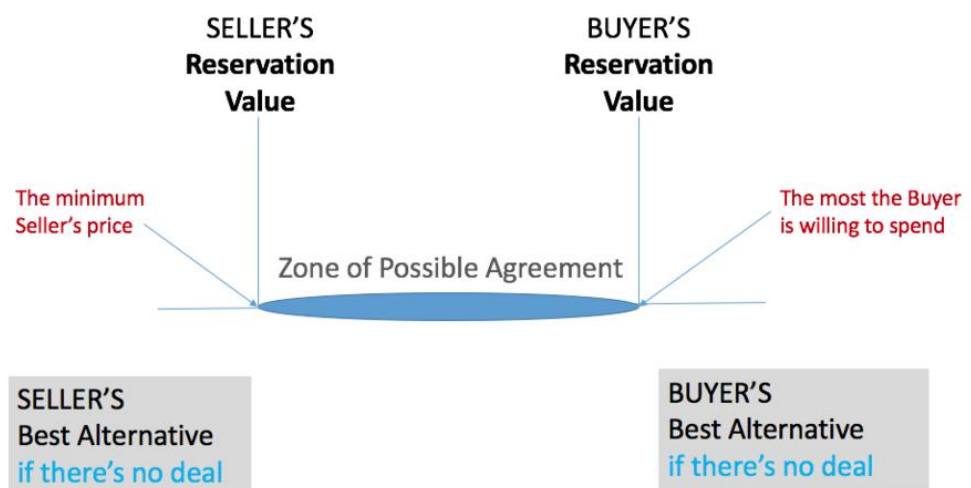


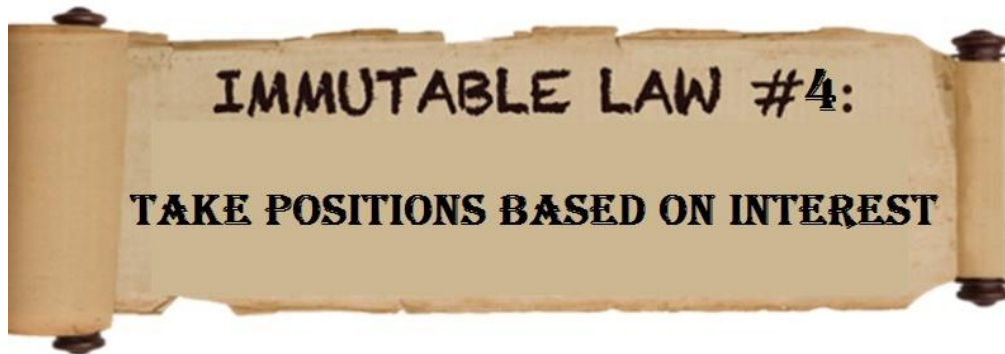
1. If Seller's opening offer for a product is Rs 100/- what is the Buyer's expectation of min. price ?

2. If Seller's opening offer for a product is Rs. 100/- , what is the minimum price that Seller is ready to give away?

3. What is the maximum price, that the Buyer is ready to buy the product at?

4. Please mark all the price points on this line grid shown below:

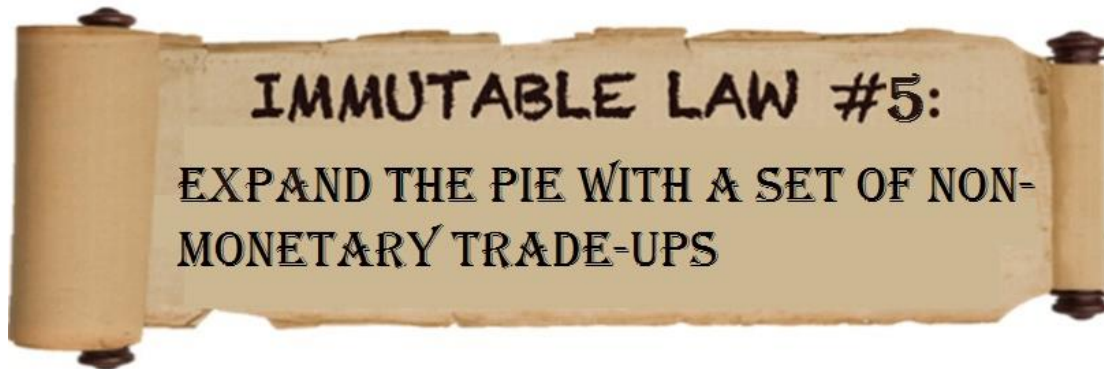




1. What product or service do you sell? (Mention any one product below)

2. What are the interest points of the customer before buying your product or service?

S.No.	Typical areas of concern for customers	Interest points
1	Product Performance	
2	User Productivity	
3	Value for money vis a vis competition	
4	Resale value	
5	Upgradability	
6	Obsolesce	
7	Serviceability	
8	Support & Warranty	
9	Trust	
10	Brand image	



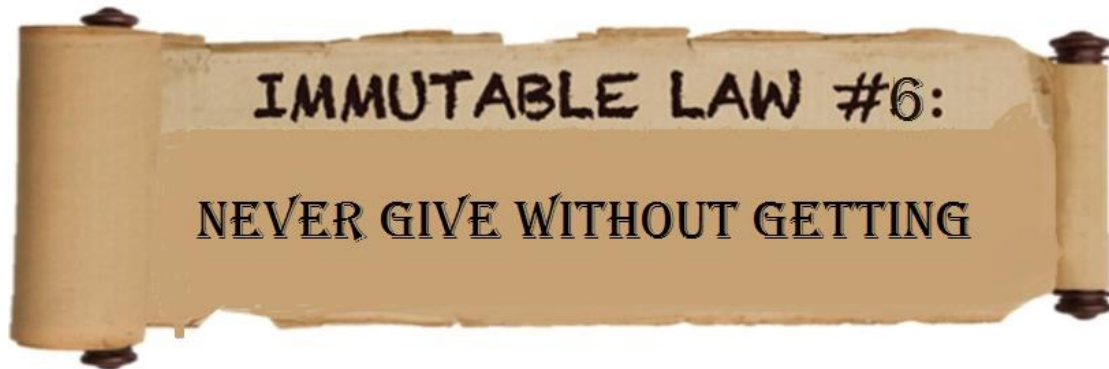
1. What product or service do you sell? (Mention any one product below)

2. What are the services that you can provide to the customer which does not cost you any extra money but means value to the customers?

S.No.	Name of service	Approx. Value of service to customer (Rs)

3. What are the intangible services that you provide to your customers but have never monetized the same?

S.No.	Name of intangible service	Approx. Value of service to customer (Rs)



1. What is Negotiation X-change kit that you use while negotiating with your customers?

<u>S.No</u>	<u>What Buyers ask?</u>	<u>What Seller asks in return?</u>
1	Give me x% discount?	
2	Give me extended warranty free of cost?	
3	Give me all options in the same price?	
4	Give me free consumables?	
5	Give me free installation?	
6	Give me Free Training?	
7	Cover all my risk free of cost?	

Your understanding while preparing the negotiation x-change kit

1. Buyer should know that nothing comes free of cost.
2. Buyer should not ask for unnecessary things because it is only going to increase his cost.
3. Buyer should ask the seller to remove things that is not going to be of much use so that he can reduce his own cost himself.



1. What are the negotiable items in your list before you sit for a negotiation?
2. What are the non-negotiable items in your list before you sit for a negotiation?
3. What are the "Walk away" points in your planning for negotiation?

a. Walk away price

b. Walk away quality

c. Walk away service terms

d. Walk away discount

e. Walk away warranty clause

f. Walk away cost of servicing

4. How do you express your walk away points to the buyer?

S.No.	<u>Type of walk away</u>	<u>What aid do you use to "Walk away"?</u>
1	Price	
2	Quality	
3	Service terms	
4	Discount	
5	Warranty	
6	Cost of servicing	



Better Alternative to a Negotiated Agreement (BATNA) is a tool which is used to understand and master the negotiation framework by all smart negotiators in the world.

Real Life Simulation Case Study

Let us all imagine a real-life negotiation that you were a part of last time you did a sales negotiation and were not too happy with its results.

For those of you who have never taken part in a sales negotiation, imagine a live customer of yours and imagine answers to the following questions.

Please write down the following details of the negotiation:

a) Who was the buyer?

a. Name:

b. Contact person:

c. Product being purchased:

d. What were the buyer's interest?

e. What was the buyer's min. price expectation?

f. What was the buyer's max price expectation?

g. What was the fate of the negotiation? (Tick what is applicable)

- i. You lost the order on your terms
- ii. You got the order on buyer's terms
- iii. You lost the order to competition
- iv. Buyer decided not to buy right now
- v. Buyer purchased a different product to fulfill the same need.

Please write down the following details of the Seller from your side:

a) Name of seller:

b) What is the product or service to be sold?

c) What is the opening offer made by Seller?

d) What were the financial benefits of your offer?

e) How did you increase the “size of the pie” by adding intangible services that does not cost you money but is value to the buyer?

S.No.	Intangible service	Approx. value to Buyer (Rs)
1		
2		
3		
4		
5		

f) To change your “Product” into “Solution” the intangible services mentioned by you above, tilted the BATNA in your favor by how many Rupees?

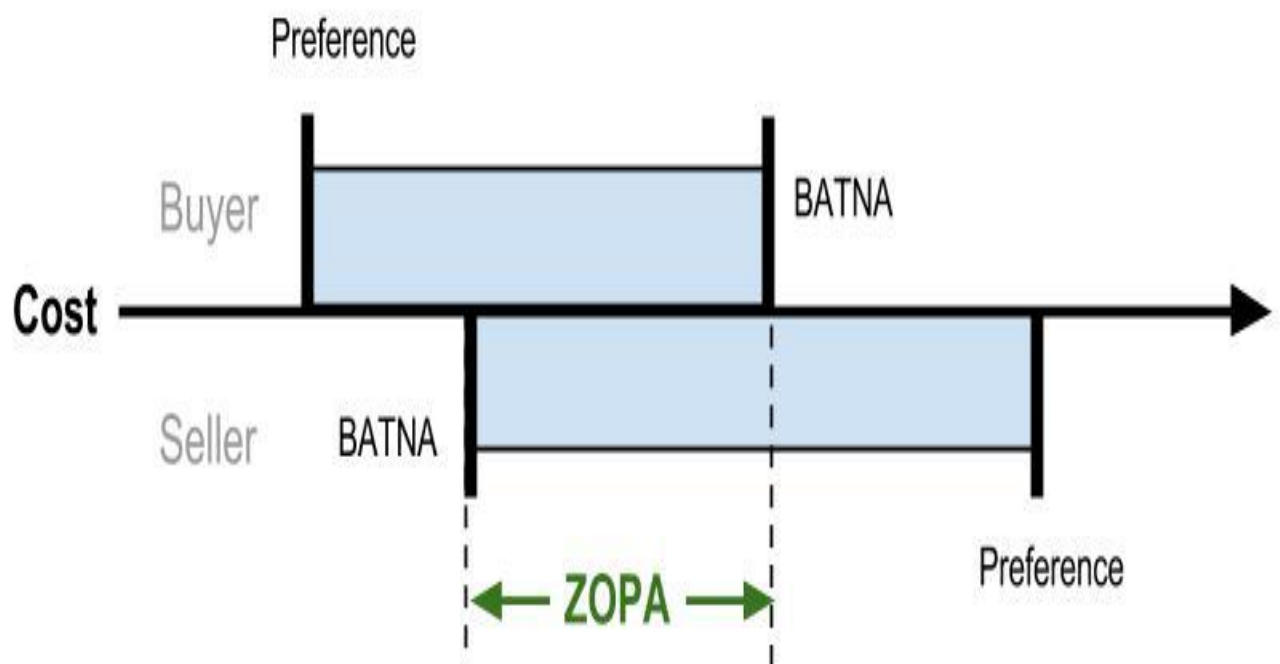
g) What negotiation x-change kit did you use during this negotiation?

S.No.	Give	Take



Draw the linear scale diagram to show the BATNA (Better Alternative to a Negotiated Agreement), WATNA (Worst Alternative to a Negotiated Agreement) and ZOPA (Zone of Possible Agreement).

A schematic diagram of the same is shown below:



Draw BATNA, WATNA and ZOPA of the case study that you are doing on your last negotiation.

My Key Learnings from today's program



my learning

1. _____
2. _____
3. _____
4. _____
5. _____
6. _____
7. _____

I am still confused about the following aspects of Negotiation:

1. _____
2. _____
3. _____
4. _____
5. _____

Training Feedback Form

1. Please rate the following on a scale of 0 -10 where 0 = Poor and 10 = Excellent.

S.No.	Criteria	Poor 0	Fair 3	Good 5	Very good 7	Excellent 10
1	Did you find the topic relevant?					
2	Did you find today' content relevant?					
3	Did you like today's presentation?					
4	How do you rate the faculty?					
5	How did you find the training arrangements?					
	Total points					

2. What are the key learnings from today's program?

3. What are the things that you could not understand clearly today?

4. Would you like to recommend this program to any friend or colleague in future?

5. What are the other topics on which you would like to attend similar training programs on, in future?

Name _____ Bus Name _____

Signature _____

Recommendation Form



I would like to recommend to the following to attend the program on “The Science of Sales Negotiation” in future.

Reference 1

Name: _____
Business Name: _____
Mobile no: _____
Email id: _____

Reference 2

Name: _____
Business Name: _____
Mobile no: _____
Email id: _____

Reference 3

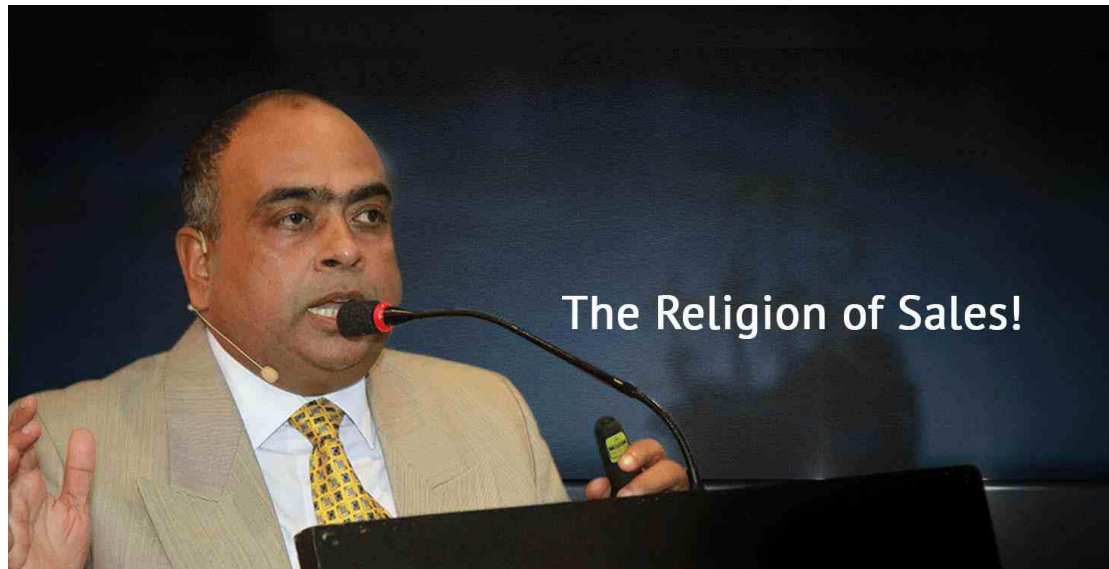
Name: _____
Business Name: _____
Mobile no: _____
Email id: _____

This is just a recommendation and not a guarantee for their participation

(Your name)

(Your signature)

About the Faculty



Sanjay Singh is a nationally renowned **sales coach and growth evangelist**. Armed with a post-graduation degree in Management, Sanjay is a sought-after trainer, coach and a very popular mentor for SME CEO's.

Sanjay is a MDP faculty of **IIM Kolkata** and has trained brands like **ICICI, Godrej, Amway, LIC, Airtel, Tata Indicom** and many more.

He is the founder and Chief Knowledge Officer of **Strategic Concepts (I) Pvt. Ltd.** This organization is focused on providing 360 degrees solutions to growth of Small and Medium Enterprises in emerging markets of India.

The focus on Sales Management as a subject matter makes Sanjay and his organization very unique.

Sanjay has penned his insights into Sales Management in publications like **“Beg, Borrow or Sell”**, **“The Grass is Always Green”** and **“The Silos of Customer Relationships”**.